

“Public-private partnership with mission-based procurement, joint development of system architecture, and integration of niche capability-based services and component suppliers may create a realistic approach to cope up with the changed business environment in strategic electronics.”

—Col. Kuber, vice president-aerospace and defence advisory service, Religare



Indian defence follows a procurement policy with a room for every business model: ‘buy’ (from Indian or global firms) with a minimum of 30 per cent from indigenous sources, ‘buy and make’ (local production) with 30 per cent CKD (complete knockdown) products and 60 per cent IM products of indigenous origin, and ‘make’ (through DRDO) with a 80:20 funding option with major share from the government side.

Additionally, business opportunities through OFFSET (as set out in MoD’s Defence Procurement Procedure DPP 2006) for systems design, engineering and testing services may also be targeted by the companies, opening up the export market.

As per DPP 2006, there is an op-

tion of offset to the extent of 30 per cent of the total foreign exchange. It involves export of products, components and services, investments in industrial infrastructure for services, co-development, joint ventures and co-production of defence products and components.

So high ROI is confirmed. But, it also requires high endeavour. For all the models, the ROI is preceded by a long silent period. “There is no possibility of Q1, Q2, Q3 type returns,” says Kuber.

Axis had to wait for two years before getting its first order. So long gestation period, along with the need of high-technology expertise and high capital investment, may create some challenges for the new entrepreneurs.

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The scenario, however, seems quite enthusiastic after the silent period. Kuber explains that any organisation may elevate from original small-scale phase once it reaches the ROI period. For any serious venture in this sector, he also recommends to try for defence funding options.

Vision needed

“With network-centric operations being a force multiplier for modern warfare, India is in a unique position to leverage its world-class ICTE capabilities to create a world-class strategic electronics industry and boost the GDP and employment,” says Ghosh.

In fact, the Indian government has to pledge an ecosystem to support indigenous defence products with a clear published roadmap. All ICTE programmes that are non-platform/non-weapon based need to be opened up for the industry participation on competitive basis so that products can be developed locally and sold globally. There should be no PSU reservations.

Though immediate reduction in imports is quite difficult, for self-reliance channelised imports are important.

Ghosh suggests that a clear roadmap of import reduction by the MoD needs to be published and audited by CAG, with aggressive targets for the ICTE sector.

It is clear that India needs investments in components and composites. So wherever such investments come with full intellectual property right control, no ‘end-use’ restriction should be imposed to ensure more participation of Indian firms in strategic electronics. ●

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